

Upward breakouts tend to do better if the breakout is within a third of the yearly low. Avoid the middle third of the yearly high–low price range for downward breakouts.

Throwbacks and pullbacks. More than half of inverted roofs show throwbacks or pullbacks. They happen quickly, within a week or so of the breakout, and price returns to the breakout price in 11 to 14 days.

Performance improves if a throwback or pullback does *not* occur. I think the reason for that is one of momentum. If a throwback does not happen, price can continue rising without anything slowing it down.

Table 54.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Up Breakout	Down Breakout
5 (breakeven)	56 or 23%	59 or 25%
10	32 or 36%	49 or 46%
15	27 or 48%	42 or 64%
20	15 or 54%	27 or 75%
25	9 or 57%	19 or 83%
30	13 or 63%	16 or 90%
35	10 or 67%	9 or 94%
50	27 or 78%	11 or 99%
75	27 or 89%	3 or 100%
Over 75	26 or 100%	0 or 100%